

**SECURITIES AND EXCHANGE BOARD OF INDIA
SECONDARY MARKET DEPARTMENT
Mittal Court, A Wing, Gr. Floor,
224, Nariman Point, Mumbai 400 021**

SMD/POLICY/CIR-22/2000
May 29, 2000

To:

**The President / Executive Director,
Managing Director of all Stock Exchanges**

Dear Sir/ Madam,

This is in continuation of circular no. SMD/POLICY/CIR-19/2000 dated April 28, 2000 communicating that the short seller who does not either own shares or has not borrowed shares (which in that case shall be deposited with the clearing corporation / clearing house) the carry forward charges shall not be payable to the short seller. This is to be implemented by the Exchanges having the carry forward facility for settlements ending after May 31, 2000.

The matter was further discussed on May 17, 2000 at a meeting of some of the Stock Exchanges which has carry forward facility viz. the Stock Exchange, Mumbai, Calcutta Stock Exchange, Delhi Stock Exchange and Ahmedabad Stock Exchange on May 17, 2000. It was decided that:

1. The necessary changes in the software shall be completed by the Stock Exchanges by the end of June 2000.
2. Pending changes in the software, the carry forward charges to the short sellers may be released on the basis of submission of self-certificate by the members to the Stock Exchange about the availability of sufficient number of shares. In case, the short seller holds less number of shares than the shares sold, carry forward charges on the balance shares i.e. the number of shares sold but not held by the short seller, shall not be released to the short seller and shall be credited to the Investor Protection Fund of the Stock Exchange as advised earlier.

You are advised to take steps to give effect to these decisions.

Yours faithfully,

P. K. BINDLISH
Division Chief
Secondary Markets, Depository,
Research & Publications Department
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